and Developers. These initiatives are expected to generate employment opportunities for ~82 lakh persons, marking a stunning chapter in India's Renewable Energy journey.

To address critical challenges in transmission, battery storage, and land acquisition, a Chintan Shivir was held last month. The event brought together key stakeholders, including the Ministry of Power, Powergrid, CTU, CEA, and MNRE, to find immediate and actionable solutions. Outcomes included the formation of a Dedicated Task Force, hackathons for startups, and a Centre of Excellence for Research and Development. State-wise reviews are being conducted to accelerate renewable energy adoption with the most recent PM-Suryaghar review held in Kolkata with the participation of 12 states, emphasizing Hon'ble Prime Minister Sh. Narendra Modi's commitment to localized implementation.

A Sustainable Future

And now under the new regime, there is a renewed vigour and a bigger push for accelerating renewable energy adoption. In his 78th Independence Day speech, Prime Minister Shri Narendra Modi reiterated the India's ambitious goal of achieving 500 gigawatts of renewable energy capacity by 2030. He noted that India has been the only country among the G20 nations to meet its Paris Accord goals. By 2030, 50% of power generation installed capacity will come from non-fossil sources, and by 2047, this will increase to a 77% share of non-fossil fuel electricity generation. These targets also include a reduction of total projected carbon emissions by 1 billion tonnes and a 45% reduction in emission intensity of GDP over 2005 levels. The nation also aims to achieve net-zero emissions by 2070 and create around 1 crore jobs in the renewable energy sector. Recognizing the critical role of financing in accelerating renewable energy adoption, Hon'ble Minister Sh. Pralhad Joshi is set to meet top banking leaders to extend support for renewable energy projects.

IREDA: A Transformational Journey in Renewable Energy Financing

The Indian Renewable Energy Development Agency (IREDA), under the visionary leadership of Hon'ble PM Modi and spearheaded by Sh. Pralhad Joshi, has transformed itself from a traditional renewable energy financier to a diversified, globally recognized green energy NBFC. Established in 1987 under the Ministry of New and Renewable Energy (MNRE), IREDA has evolved into India's largest pure-play green financing non-banking financial company (NBFC) with over ₹2.08 Lakh crore in cumulative sanctions and over ₹1.36 Lakh Crores in cumulative disbursement till H1FY25. With its elevation to Navratna CPSE status in 2024, the organization's role in supporting over 25 GW of India's renewable energy capacity has come to the fore.

The Role of IREDA in Renewable Energy

IREDA serves as MNRE's dedicated financing arm, addressing India's need for sustainable energy development. As a Systemically Important Non-Deposit taking NBFC and an Infrastructure Finance Corporation as per RBI, the agency is at the forefront of India's green energy financing. Over the years, IREDA has expanded its portfolio from traditional RE sectors like solar, wind, and hydro to emerging technologies such as electric vehicles (EVs), green hydrogen, compressed-bio gas and ethanol production.


Shri Pradip Kumar Das
Chairman and Managing Director
IREDA

As of FY25 H1, IREDA has directed approximately 76% of its loan book towards power-purchase agreement (PPA) backed traditional RE projects and State Utilities, ensuring financial stability while contributing significantly to India's clean energy infrastructure. Approximately 18% of IREDA's loan book caters to new and emerging RE technologies such as E-mobility, Ethanol, RE equipment manufacturing, Green Hydrogen & Derivatives, Rooftop Solar & PM KUSUM.

Strong Financial Performance

IREDA's financial growth has been nothing short of extraordinary. Its loan book has grown at a CAGR of 27% since FY20, reaching ₹64,564 crore by FY25 H1. The agency achieved its highest-ever disbursements of ₹25,089 crore in FY24, a testament to its expanding influence.

The financial health of the organization is reflected in its Profit After Tax (PAT), which rose by 55% CAGR since FY20, reaching ₹1,252 crore in FY24. Similarly, its net non-performing assets (NPA) were reduced to an impressive ~1% from 7.2% in FY20 with over ₹1,500 crore recovered & less than ₹36 crore written-off.

IREDA also made headlines with its initial public offering (IPO) in November 2023, raising ₹2,150 crore. The IPO, subscribed 38.59 times overall, was among the most successful in the NBFC and public sector undertaking (PSU) space. From its issue price of ₹32, the share price has consistently trended upwards by 6.7-7x, with market capitalization reaching ₹58,350 crore by December 2024.

Strategic Interventions Driving Success

To cater to evolving market needs, IREDA introduced specialized financial products for emerging RE sectors like EV fleet financing, Green Hydrogen & derivatives, Ethanol, Rooftop Solar & PM KUSUM. Additionally, a subsidiary has been set up in GIFT City to offer foreign currency loans for export-oriented projects, reducing costs by 300-450 basis points approximately. To ensure quality appraisal, IREDA implemented a data-backed credit appraisal system, incorporating proprietary risk ratings across seven parameters such as permitting, execution, and financial risks. Coupled with stringent multi-level internal checks, this approach minimized non-performing assets and bolstered loan quality.

IREDA has also strategically diversified its loan portfolio, with only three states having >10% loan book concentration. This approach mitigates geographic risks and ensures equitable growth across the country. The loan portfolio also spans multiple RE technologies, from solar, wind, hydro to waste-to-energy, bioenergy and Electric Mobility.

Additionally, fully digitized workflows and its state-of-art paperless business centre has significantly enhanced customer convenience and transparency. Borrowers now enjoy an online application journey, complemented by regular virtual and physical borrower meetings with top management including the CMD, Director Finance and Head of Departments to address concerns. Along with this, IREDA has set benchmarks in corporate governance by publishing audited annual financial results within 19 days- the fastest in India's financial sector. It has also adopted web portals for whistleblower complaints, prevention of harassment, and grievance redressal, ensuring transparency and ethical operations.

To reduce dependence on foreign currency borrowings, IREDA strengthened its domestic capital market presence with green and tax-free bonds. Relationships with international lenders such as World Bank, ADB, and JICA, as well as leading domestic banks, ensured a diversified borrowing base.

